Financial Ombudsman Service

complaint

Ms F is unhappy with the administration by Ageas 50 Limited of her home insurance policy. In particular she is unhappy with the lack of advice she received about the consequences of leaving her home unoccupied for 90 days. Where I refer to Ageas in this decision I mean the broker rather than the insurer.

background

Ms F called Ageas (her broker) on 24 November 2011 to let it know that she would be going on holiday for 90 days and that her home would be unoccupied. She was asked to confirm her travel dates in writing. She was also told that once this confirmation was received, Ageas would refer the information to its underwriters and that it would contact her again to explain if the policy was to be amended in any way. Ms F was informed that someone would call her back to confirm any changes.

Ageas' in-house underwriters added a specific term to the policy which excluded any damage caused by escape of water for the entire duration of Ms F's holiday. An amended policy schedule was sent to Ms F, but she did not receive a call back from Ageas to discuss the new term. She was therefore unaware of this new term having been added to the policy.

Ms F went on holiday. In her absence her daughter discovered a pipe in the loft had burst. A subsequent claim was reported to the insurer in February 2012. The claim was declined by the insurer but this was declined due to the unoccupancy term on the policy.

Ms F feels that she should have been told of even a possibility of change to her policy which she had had in place for over ten years. If she had been aware she would have been quite prepared to pay an increase in premium to ensure she was covered.

The adjudicator upheld the complaint. He thought that Ageas ought to have done more to clearly explain to Ms F that she was not covered for escape of water during her extended holiday. It was not enough for Ageas to have just sent an amended policy schedule without bringing the new term clearly to Ms F's attention.

Ageas did not agree with the adjudicator and requested an ombudsman's final decision.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Ageas has pointed out that there was no change in Ms F's policy. She had never been covered for water leakage if the property was unoccupied for more than 60 days. Ms F had also previously taken an extended holiday, so it concluded that she was fully aware of the exclusion. It cannot make an assumption that because Ms F was of a certain age she might have needed a higher level of communication. It has always communicated with her in writing and has not been advised that this does not suit her needs.

I think that Ageas' response misses the point. Ms F specifically rang up her broker to advise it that she was going an extended holiday. I don't think it has been suggested that she was unaware of the *normal* exclusion for unoccupancy. I also think that the point about the method of communication is irrelevant. The fact is, in the telephone call with Ageas she was told on two occasions that she would be called back to advise what terms if any would apply.

In fact there were specific alterations made to the policy, notably that the escape of water exclusion would apply for the whole duration of her holiday (not just any period after 60 days. Further security conditions (about locks etc) were added to the policy in respect of theft or malicious damage.

I find that the fact that the escape of water exclusion applied to the entire holiday was not drawn adequately to Ms F's attention. Moreover as she had rung Ageas specifically to inform it of her holiday, I think she was entitled to assume (as she was not rung back and told otherwise) that it had been noted and that cover would continue. I note that she had had an extended holiday before, although presumably she did not have to make a claim during that holiday so would not have known about the extended exclusions.

I find that Ms F was not made aware that the exclusion for escape of water for unoccupied properties would apply. I have to be satisfied that even if she was aware, that she would have taken some other action. If I assume that Ageas would not have offered her extended cover, her options would have been either to find other insurance to cover her unoccupied property (which is likely to have been available) or take other action such as draining down the water system. As she had rung Ageas specifically to tell it, I am satisfied that had she known that she wouldn't be covered for water leaks, she would have probably taken some other action.

Overall therefore I uphold Ms F's complaint. Ageas should deal with her claim as if it were the insurer. I also think that Ms F has suffered some distress and inconvenience and I will direct Ageas to pay her £400 in respect of that.

my final decision

My final decision is that I uphold this complaint. I direct Ageas 50 Limited to

- deal with the escape of water claim that was reported on 16 February 2012 and settle it in line with the remaining policy terms and conditions.
- in order to do this to instruct an independent loss adjuster to assess and quantify the claim and to meet the necessary investigation costs of doing so.
- if the claim is to be cash-settled to calculate the reinstatement costs on open market rates.
- to add interest to any cash settlement at the rate of 8% per annum simple (less any tax legally deductible) from the date of claim to the date of actual settlement.
- to pay Ms F £400 compensation for the distress and inconvenience caused to her by its dealings with this matter.

Ray Lawley
ombudsman